

VELUSE AGENCY STANDARD OPERATING PROCEDURE (SOP) DEPARTMENT:

Executive Strategy & Enterprise Auditing **SUBJECT:** The "Failing Business" Audit Protocol & Constraint Diagnosis

PURPOSE: To establish Veluse Agency's elite framework for diagnosing the exact bottleneck inside a prospective Med Spa's business. When an enterprise is failing or stalling, amateur consultants guess at the solution. We do not guess. We use Alex Hormozi's diagnostic protocols to instantly isolate whether the constraint is a traffic, conversion, or delivery problem, and then we utilize extreme pricing exercises to completely restructure their offer.

PART 1: DIAGNOSING THE BOTTLENECK (TRAFFIC, CONVERSION, OR DELIVERY)

If we want to grow a Med Spa, we must recognize that there are only four main levers that can change: traffic, conversion, price, and churn 1. If a business is not growing, it is because they are failing at one of these stages 1.

To immediately find the bottleneck during a consultation, Veluse executives must ask the Med Spa owner one defining question: *"What would stop me from 10x'ing the business right now?"* 2. Based on their exact excuse, we immediately categorize their failure into one of three buckets:

1. The Traffic Problem (Attraction)

- *The Symptom:* If the owner states that nobody knows their clinic exists, they have a traffic problem 3. If they say, "Whenever we spend more money, our ROAS Return on Ad Spend goes down," we immediately know their ads suck 4.
- *The Diagnosis:* They do not have enough raw input (eyeballs) feeding the machine 5. They need to do more volume, make better creative, or expand to new platforms 6, 7.

2. The Conversion Problem (Sales)

- *The Symptom:* They are generating leads, but they are failing at the micro-steps of conversion. We must ask them to define their metrics across the pipeline: schedule rate, show rate, and close rate 5, 8.
- *The Diagnosis:* If they get leads but cannot get them on the calendar, they have a scheduling issue 5. If they say, "We can't handle the call volume," they do not know how to recruit and train salespeople 4.

3. The Delivery & Pricing Problem (Backend)

- *The Symptom:* If the owner says, "My schedule is completely full but I'm not making any money," they are mispriced 9. If they say, "We couldn't deliver based on the promises that we make because we have a lot of high touch service," they have an operational delivery bottleneck 4.
- *The Diagnosis:* They need to systematize more stuff on the backend and get better training in place so they can handle scale 4.

PART 2: THE "FAILING BUSINESS" AUTOPSY (THE ALEXI OMAR FRAMEWORK)

When we confront a failing business owner—such as the legal attorney who was generating \$300,000 in revenue but losing \$100,000 a year—we must ruthlessly dissect their operational flaws 10. The attorney was working all year just to be worse off financially 10. To audit a failing Med Spa, we look for the "six big mistakes that small business owners make" 11. During the audit, look for these specific red flags:

1. **Selling to too many different avatars:** Are they trying to serve everyone instead of focusing on their most profitable patient? 11.
2. **Overexpansion:** Are they launching new services or locations before their core model is actually profitable? 11.
3. **Compensation Issues:** Are they overpaying their team or setting up poor incentive structures? 12.
4. **Mispricing:** Are they severely underpriced relative to the value they deliver, causing them to lose money on every client they serve? 12.
5. **Single Product:** Are they only selling a front-end service without a high-margin backend offer to drive Lifetime Value? 12.

PART 3: THE "10X TO 1/10TH" PRICING & DELIVERY EXERCISE

Once we have audited the Med Spa and identified that their pricing and delivery models are broken, we must force the founder to completely rethink their value proposition. To do this, Veluse Strategists will walk the owner through the "10x to 1/10th test" 13, 14.

The 10x Exercise (Maximizing Value): We ask the owner: *"If my customers paid me 10x my price (or \$100,000) what would I provide?"* 14, 15.

- *The Execution:* We instruct the founder to go crazy and write down everything they would possibly do for a client if they were paid \$100,000 16.
- *The Revelation:* Then, we audit the actual cost of providing those extreme services 16. The owner will realize that many of these hyper-valuable additions do not actually cost that much money or effort to fulfill 16. This allows them to justify a massive price tag and transition to premium, high-ticket packaging 13.

The 1/10th Exercise (Maximizing Efficiency): Next, we force them to look at the exact opposite extreme: *"If they paid me 1/10th the price and I had to make my product more valuable than it already is, how would I do that?"* 14, 15.

- *The Execution:* We ask them, *"How could I still make them successful for 1/10th price?"* 14, 15.
- *The Revelation:* This forces the Med Spa owner to eliminate expensive, bespoke human labor and discover highly scalable, low-cost delivery vehicles (like digital assets, group training, or automated software) 13.

By forcing the Med Spa owner to stretch their mind in either direction, they will come up with widely different solutions for their business 14, 15. This exercise obliterates their limiting beliefs and gives Veluse Agency the exact blueprint needed to restructure their failing offer into a highly profitable, scalable machine.